

S

anjiv Mehta, 61, took charge of Hindustan Unilever (HUL) a decade ago. Since then the FMCG

major has grown nearly five times, but with competition getting fierce amid unprecedented levels of inflation and a slowdown in consumer demand, it faces fresh challenges. The Chairman and MD, however, is confident about the future. In an interview with *Business Today's* Arnab Dutta, Mehta says HUL is being re-imagined and this would keep it future-ready. Edited excerpts:

Q: High inflation has been a major concern and has led to repeated price hikes. Amid faltering demand, what is the outlook for the next two-three quarters?

A: From the macroeconomic point of view, there are two other factors at play. One is private consumption or expenditure is still lower than the pre-pandemic levels. The second... is private capital expenditure. Private capex kicks in when you have your capacity utilised by over 75 per cent on an average. We are pleased that the government is not reducing the Budget deficit and is willing to continue with capital expenditure until private capex starts in a big way. The massive capital expenditure allocation by the government for the year should reflect in improving consumption.

There is a stress on demand and it is more acute in rural areas. We are witnessing that through off-take trends for small packs—priced between ₹1 and ₹10. This clearly indicates the stress, which worsened due to inflation, especially for households whose budgets are limited. Disruptions in the supply chain have a role in the ongoing inflation. I am hoping that in the second half of 2022, we shall start seeing some tapering off [of] prices and then gradually inflation coming down.

Q: The government's capex for FY23 is significantly higher. But such measures usually take

time to change the downward trend in private consumption.....

A: We did highlight this during our representations with the government secretaries and the good bit is that the government is very cognisant that if the need arises, they would be agile with spending. I hope that the Omicron variant is the beginning of an end [to the Covid-19 pandemic]. However, in case more variants arrive, I think the government is very clear that it would not hesitate to spend... That gives me comfort. If the government is open to spending more and meanwhile private capex kicks in, then we will witness demand coming back.

Q: What would be the impact on margins?

A: This stress will remain for a few quarters. This is cyclical. During these times, our focus is on two areas: gaining market share so that we do not lose the consumer franchise; and, second, we keep the business model intact. We have a very healthy Ebitda margin at 25 per cent. Thus, as long as I can keep that within the band and our market share intact, I'd be ready to play even harder when commodity prices cool off. From that perspective, I am confident that we'd be able to navigate this crisis.

Q: Since you took charge in 2013, there have been significant changes in the dynamics of the FMCG market in India. While HUL is still the largest player, companies like ITC, Adani

"I think the government is clear that it wouldn't hesitate to spend... If the government is open to spending more and meanwhile private capex kicks in, then we shall witness demand coming back"

Wilmar and Tata Consumer have expanded aggressively in segments like personal and home care and branded commodities. How does HUL plan to hold on to its position?

A: In the past 10 years we have grown at about 9 per cent CAGR, despite the rural slowdown, demonetisation, implementation of GST and the Covid-19